

Many of the shareholders simply forgot they held the shares. In some companies these lost or missing shareholders—known as “Gone, No Address” or “GNAs”—comprised 30 percent of the share register.²² The obvious attraction to Brierley of companies with many GNAs was that control could be had without buying 50 percent of the shares. In 1964 Brierley found one, Mamaku Forests, that he valued at 25 shillings per share, but could be bought for 7 shillings. One director discovered that Brierley was buying, and informed him that if he bid for the whole company at 17 shillings, the board would support him.²³ Brierley did so, and, although another bidder emerged with a higher bid, the board supported Brierley. As he had suspected, only 70 percent of the shares were tendered—the rest were GNAs—and Brierley had control of a substantial public company with shareholder funds of NZ£20,000 (about \$650,000) for an outlay of about NZ£11,000 (about \$350,000) or a little over half price.²⁴

Brierley started examining companies in Australia. In 1964 he placed an advertisement in the *Australian Financial Review* seeking what he described as “special situations.”²⁵ One letter in response described a holding in Citizens and Graziers Life Assurance Company Limited. It provided the history of the company, noted that it was unlisted, mentioned that it hadn’t paid a dividend in 30 years, and included the detail that the company had just sold its life assurance business. Brierley immediately grasped that its assets would consist primarily of cash, and would likely be undervalued. He started buying the stock. The board had intended to turn the company into an investment operation, but needed approval by 75 percent of the shareholders. Brierley raced to acquire 25 percent so that he could block the conversion, launching a “first come, first served” bid for Citizens and Graziers in 1966.²⁶ The directors capitulated when Brierley reached the 25 percent threshold, recommending to shareholders that they accept his bid. Brierley then used Citizens and Graziers to bid for Industrial Equity Limited, a non-operating company formed in 1964 to operate a “buy-write” business, a trading strategy that generates income by selling call options on acquired shares.²⁷ The buy-write business hadn’t generated much income, and the stock traded at a significant discount to its asset backing, which consisted entirely of listed stocks. The directors had decided to wind up the company and liquidate it, so Brierley’s bid was welcomed with open arms. In Industrial Equity, Brierley had his vehicle for investing in Australia. He immediately started searching for other Australian companies to acquire.

He found fertile soil in Australia’s food and agricultural sector. The industry was dominated by a number of small family controlled companies. Subsidies and long relationships with large multinational companies like Heinz, Cadbury, and Nabisco, had made them fat, inefficient, and torpid. Each was a classic Brierley target: deeply undervalued, with complacent